

Outside of proof-of-work, other consensus mechanisms exist, such as *proof-of-stake (PoS)*. Proof-of-stake can be thought of as an alternative form of mining, one that doesn't require lots of hardware and electricity, but instead requires people to put their reputation and assets at risk to help validate transactions. Logistically, proof-of-stake requires transaction validators to “stake” a balance of the cryptoasset and then attest to the validity of transactions in blocks. If validators are lying or otherwise deceiving the network, they will lose their staked assets. As the name implies, in “proving they have something at stake,” the validators are incentivized to be honest.

Often these systems provide an interest rate, like 5 percent, that rewards the validators who have staked their assets to help in the transaction validation process. There are also hybrid proof-of-work, proof-of-stake mining ecosystems and other variations, but proof-of-work is the most well-proven consensus mechanism, and the majority of cryptoassets use it. However, Ethereum will potentially switch to proof-of-stake early in 2018, as it is more efficient from an energy perspective, and therefore many claim is more scalable. When Ethereum switches from proof-of-work to proof-of-stake, it will be a major proving point for the viability of this consensus mechanism to secure large-scale cryptoasset networks.

CRYPTOASSET EXCHANGES AND OTC DESKS